



Top 50 Case Study Questions – Class 12 Economics



Unit 1: National Income & Related Aggregates (1–8)

1. Welfare vs GDP

India's GDP has increased significantly in recent years, but inequality and environmental degradation have also increased.

Questions:

- a) Why is GDP not a perfect measure of welfare?
- b) Name two limitations of GDP.

2. Circular Flow of Income

In a simple economy, households supply factors of production and firms pay wages, rent, interest and profit.

Questions:

- a) What is circular flow of income?
- b) Identify the two sectors involved.

3. Real vs Nominal GDP

The nominal GDP of a country increased due to rising prices rather than an increase in production.

Questions:

- a) Define Real GDP.
- b) Why is Real GDP a better indicator of economic growth?

4. Value Added Method

A farmer sells wheat to a flour mill which sells flour to a bakery.

Questions:

- a) Define value added.**
- b) Why is it used to avoid double counting?**

5. Income Method

National income is calculated by adding wages, rent, interest and profit earned in the economy.

Questions:

- a) What is income method?**
- b) Name two factor incomes.**

6. Expenditure Method

Government calculates GDP by adding consumption, investment, government spending and net exports.

Questions:

- a) Write the formula for GDP using expenditure method.**
- b) What are net exports?**

7. National Income Concepts

Economists use different concepts like GDP, NNP and National Income.

Questions:

- a) Define NNP at factor cost.**
- b) Why is it called national income?**

8. Leakages and Injections

Savings reduce spending in the economy while investment increases it.

Questions:

- a) What are leakages?**
- b) Name two injections.**

Unit 2: Money and Banking (9–14)

9. Functions of Money

Money helps in buying goods and services and acts as a store of value.

Questions:

- a) Define money.**
- b) Name two functions of money.**

10. Money Supply

RBI measures money supply to maintain stability in the economy.

Questions:

- a) What is money supply?**
- b) Name two components.**

11. Credit Creation

Banks accept deposits and lend a part of them to borrowers.

Questions:

- a) Define credit creation.**
- b) Name one limitation.**

12. Repo Rate

RBI increases repo rate to reduce inflation.

Questions:

- a) What is repo rate?**
- b) How does it affect borrowing?**

13. CRR Policy

Commercial banks are required to keep a percentage of deposits with RBI.

Questions:

- a) What is CRR?**
- b) What happens when CRR increases?**

14. Open Market Operations

RBI sells government securities in the market.

Questions:

- a) What are Open Market Operations?**
- b) What is their effect on liquidity?**

Unit 3: Determination of Income & Employment (15–22)

15. Aggregate Demand

Total demand for goods and services determines output in an economy.

Questions:

- a) What is aggregate demand?**
- b) Name its components.**

16. Propensity to Consume

Households spend a portion of their income on consumption.

Questions:

- a) Define marginal propensity to consume.**
- b) What is its range?**

17. Propensity to Save

People save part of their income instead of spending it.

Questions:

- a) Define marginal propensity to save.**
- b) What is its relation with MPC?**

18. Multiplier Effect

An increase in investment leads to a larger increase in income.

Questions:

- a) Define investment multiplier.**
- b) Write its formula.**

19. Equilibrium Income

Equilibrium occurs when aggregate demand equals aggregate supply.

Questions:

- a) Define equilibrium level of income.**
- b) What happens when AD exceeds AS?**

20. Paradox of Thrift

When people save more during recession, demand decreases further.

Questions:

- a) What is paradox of thrift?**
- b) How does it affect income?**

21. Full Employment

An economy aims to achieve full employment of resources.

Questions:

- a) Define full employment.**
- b) What is involuntary unemployment?**

22. Deflationary Gap

When aggregate demand is less than aggregate supply.

Questions:

- a) Define deflationary gap.**
- b) How can government reduce it?**

Unit 4: Government Budget (23–28)

23. Government Budget Meaning

Government prepares an annual financial statement.

Questions:

- a) What is government budget?**
- b) Name two objectives.**

24. Revenue Receipts

Taxes collected by the government form revenue receipts.

Questions:

- a) What are revenue receipts?**
- b) Give two examples.**

25. Capital Receipts

Government raises funds through borrowing.

Questions:

- a) Define capital receipts.**
- b) Give one example.**

26. Revenue Expenditure

Government spends money on salaries and subsidies.

Questions:

- a) Define revenue expenditure.**
- b) Give two examples.**

27. Fiscal Deficit

Government's expenditure exceeds its total receipts excluding borrowings.

Questions:

- a) Define fiscal deficit.**
- b) How is it financed?**

28. Revenue Deficit

Revenue expenditure exceeds revenue receipts.

Questions:

- a) Define revenue deficit.**
- b) Why is it harmful?**

Unit 5: Balance of Payments (29–32)

29. Balance of Payments

A country records all international transactions in BOP.

Questions:

- a) Define balance of payments.**
- b) Name two components.**

30. Current Account

Exports and imports of goods and services are recorded here.

Questions:

- a) What is current account?**
- b) Name two items.**

31. Capital Account

Foreign investment flows into the economy.

Questions:

- a) What is capital account?**
- b) Name one example.**

32. Exchange Rate

Depreciation of currency makes exports cheaper.

Questions:

- a) What is exchange rate?
- b) How does depreciation affect exports?



Unit 6: Development Experience & Reforms (33–38)

33. Indian Economy at Independence

India faced low industrial development and poverty.

Questions:

- a) Name two features of colonial economy.
- b) Why was agriculture backward?

34. Five Year Plans

India adopted planned development after independence.

Questions:

- a) What is economic planning?
- b) Name the institution responsible for planning.

35. Green Revolution

Use of HYV seeds increased agricultural productivity.

Questions:

- a) What is Green Revolution?
- b) Name two benefits.

36. Industrial Policy

Public sector was given an important role.

Questions:

- a) What was the role of public sector?**
- b) Name one limitation.**

37. Economic Reforms 1991

India introduced LPG reforms to revive the economy.

Questions:

- a) What is liberalisation?**
- b) Name one benefit.**

38. GST and Demonetisation

Government introduced GST and demonetisation to reform the economy.

Questions:

- a) What is GST?**
- b) What was the aim of demonetisation?**



Unit 7: Current Challenges (39–46)

39. Human Capital Formation

Education improves productivity of workers.

Questions:

- a) What is human capital?**
- b) Name two sources.**

40. Health Infrastructure

Healthy workers increase productivity.

Questions:

- a) Why is health important for development?**
- b) Name two health indicators.**

41. Rural Development

Government promotes development of villages.

Questions:

- a) What is rural development?**
- b) Name two rural programmes.**

42. Agricultural Diversification

Farmers shift from traditional crops to other activities.

Questions:

- a) Define diversification.**
- b) Give two examples.**

43. Microfinance

Self-help groups provide credit to rural poor.

Questions:

- a) What are SHGs?**
- b) How do they help rural development?**

44. Employment

India faces unemployment despite growth.

Questions:

- a) Define unemployment.**
- b) Name two types.**

45. Sustainable Development

Development should protect environment.

Questions:

- a) What is sustainable development?**
- b) Name two measures.**

46. Infrastructure Development

Infrastructure supports economic activities.

Questions:

- a) What is infrastructure?**
- b) Name two types.**



Unit 8: India & Neighbours (47-50)

47. India vs China Growth

China has experienced faster industrial growth than India.

Questions:

- a) Name one reason.**
- b) Compare population policy.**

48. India vs Pakistan

Economic indicators vary between the two countries.

Questions:

- a) Name two development indicators.**
- b) Which country has higher life expectancy?**

49. Sectoral Contribution

China's manufacturing sector contributes more to GDP.

Questions:

- a) Which sector dominates India's GDP?**
- b) Why is industrial growth important?**

50. Human Development Comparison

India, China and Pakistan differ in literacy and income levels.

Questions:

- a) What is Human Development Index?**
- b) Name two components.**

 **These 50 case studies cover the full syllabus + most board-tested concepts.**
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